Outcome IV: You have played DEFECT; I have played COOPERATE. The banker pays you the temptation pay-off of $500 and fines me, the sucker, $100.

Outcomes III and IV are obviously mirror images: one player does very well and the other does very badly. In outcomes I and II we do as well as one another, but I is better for *both* of us than II. The exact quantities of money don't matter. It doesn't even matter how many of them are positive (payments) and how many of them, if any, are negative (fines). What matters, for the game to qualify as a true Prisoner's Dilemma, is their rank order. The temptation to defect must be better than the reward for mutual cooperation, which must be better than the punishment for mutual defection, which must be better than the sucker's pay-off. (Strictly speaking, there is one further condition for the game to qualify as a true Prisoner's Dilemma: the average of the temptation and the sucker pay-offs must not exceed the reward. The reason for this additional condition will emerge later.) The four outcomes are summarized in the pay-off matrix in Figure A.

		What you do	
		Cooperate	**Defect**
What I do	**Cooperate**	Fairly good **REWARD** (for mutual cooperation) **e.g. $300**	Very bad **SUCKER'S PAY-OFF** **e.g. $100 fine**
	Defect	Very good **TEMPTATION** (to defect) **e.g. $500**	Fairly bad **PUNISHMENT** (for mutual defection) **e.g. $10 fine**

Figure A. Pay-offs to me from various outcomes of the Prisoner's Dilemma game

Now, why the 'dilemma'? To see this, look at the pay-off matrix and imagine the thoughts that might go through my head as I play against you. I know that there are only two cards you can play, COOPERATE and DEFECT. Let's consider them in order. If you have played DEFECT (this means we have to look at the right-hand column), the best card I could